

POST TAX ITEMS

Whenever we enter any income or expense in the income statement, we have to make sure to use the post-tax numbers. To calculate post-tax numbers, incomes should be taken after deducting the taxes and expenses, after adding taxes that are to be paid. Notice the different signs used for post-tax income and expense.

POST TAX INCOME
= INCOME - TAX PAID

POST TAX EXPENSE
= EXPENSE + TAX PAID

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DIFFERENCE BETWEEN INCOME & ASSETS; EXPENSES & LIABILITIES

When people are asked to create an income statement and a balance sheet, they confuse income for assets and expenses for liabilities. So, we need to be careful with our markings. Go through the definitions again and if the confusion still remains, feel free to drop us an email with the item you are struggling with.

ASSETS

Assets are what you own and can be sold to someone else in the future.

LIABILITIES

Liabilities are what you owe and benefit is payable by you in the future.

INCOME

Income is inflow that you get for the work you have done or asset that you own.

EXPENSES

Expenses are what you pay or to be paid for benefits that you have already enjoyed.

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